

Table 1: Key Financial Ratios Used in Analysis (from data/STVG/STVG_agent_ratios.md)

Ratio Category	Ratio	Value	Threshold (Pass/Monitor/Fail)	Outcome
Valuation Ratios	P/E Ratio	2.6x	<10.0 / 10.0-15.0 / >15.0	PASS
	EV/EBITDA	5.9x	<5.0 / 5.0-7.5 / >7.5	MONITOR
	EV/EBIT	5.9x	<7.0 / 7.0-10.0 / >10.0	PASS
	EV/Revenue	0.3x	>1.0 / 2.0-1.0 / <2.0	FAIL
	Price to FCF	3.9x	>15.0 / 30.0-15.0 / <30.0	FAIL
	FCF Yield	25.7%	>10.0 / 6.0-10.0 / <6.0	PASS
Profitability Ratios	Gross Margin	45.6%	>40.0 / 30.0-40.0 / <30.0	PASS
	Operating Margin	8.9%	>15.0 / 5.0-15.0 / <5.0	MONITOR
	Net Margin	5.7%	>5.0 / 0.0-5.0 / <0.0	PASS
	ROE	-167.4%	>10.0 / 0.0-10.0 / <0.0	FAIL
	ROCE	17.4%	>15.0 / 8.0-15.0 / <8.0	PASS
Liquidity Ratios	Current Ratio	1.5x	>1.5 / 1.0-1.5 / <1.0	MONITOR
	Quick Ratio	1.0x	>1.0 / 0.5-1.0 / <0.5	PASS
Leverage Ratios	Debt-to-Equity	-5.2	<0.5 / 0.5-1.0 / >1.0	PASS
	Interest Coverage	1.5x	>4.0 / 2.0-4.0 / <2.0	FAIL
	Net Debt/EBITDA	2.9x	<2.5 / 2.5-3.5 / >3.5	MONITOR
Efficiency Ratios	Inventory Turnover	7.1x	>4.0 / 2.0-4.0 / <2.0	PASS
	Days Sales Outstanding	16 days	<60.0 / 60.0-90.0 / >90.0	PASS
Earnings Quality	Accruals Ratio	2.5%	<10.0 / 10.0-20.0 / >20.0	PASS
	EBITDA to FCF Conversion	76.0%	>70.0 / 40.0-70.0 / <40.0	PASS
	Adjusted vs Statutory Gap	0.0%	<10.0 / 10.0-20.0 / >20.0	PASS
Asset Quality	Goodwill/Assets	12.0%	<30.0 / 30.0-50.0 / >50.0	PASS
	Capex/Depreciation	0.0	0.8-1.2 / <0.8 or >1.2 / >1.5	MONITOR
	Tangible Book Value	- £33.2m	>50.0 / 0.0-50.0 / <0.0	FAIL

Ratio Category	Ratio	Value	Threshold (Pass/Monitor/Fail)	Outcome
Cash Flow Ratios	Cash Conversion	0.8	>1.0 / 0.8-1.0 / <0.8	MONITOR
	Free Cash Flow	£7.3m	>0.0 / 5.0-0.0 / <5.0	PASS

Table 2: Key Financial Information Used in Analysis (from data/STVG folder)

Metric	2024 (£m)	2023 (£m)	Notes/Source
Income Statement			
Revenue	188.0	168.4	data/STVG/STVG_income_statement.md
Operating Profit (Adjusted)	16.7	12.4	
Operating Profit (Statutory)	13.2	6.4	
Profit Before Tax (Adjusted)	13.2	9.3	
Profit for the Year (Adjusted)	15.6	13.8	
Earnings per Share (Basic)	23.5p	9.7p	
Cash Flow Statement			data/STVG/STVG_cashflow_statement.md
Net Cash Generated by Operations	8.7	3.8	
Net Cash from Investing Activities	(6.9)	(13.9)	
Net Cash from Financing Activities	0.0	8.1	
Net Increase in Cash	1.8	(2.0)	
Free Cash Flow	7.3	-	From agent ratios file
Balance Sheet			data/STVG/STVG_balancesheet_statement.md
Total Assets	169.7	153.9	
Total Equity	(12.9)	(12.6)	Negative equity
Net Debt (Borrowings - Cash)	38.7	32.3	Borrowings £49.8m - Cash £11.1m
Intangible Assets	36.5	25.0	
Property, Plant & Equipment	6.8	8.9	
Inventories	28.8	24.4	
Trade and Other Receivables	48.5	39.9	Current + Non-current

Metric	2024 (£m)	2023 (£m)	Notes/Source
Trade and Other Payables	63.3	43.8	Current + Non-current

Analysis Summary

Valuation:

STV Group trades at a very low P/E ratio of 2.6x, indicating the market values the company cheaply relative to earnings, which is a positive sign for value investors. The EV/EBITDA multiple at 5.9x is in the monitor range, suggesting moderate valuation risk. However, the EV/Revenue ratio is very low at 0.3x, which fails the threshold, indicating the market values the company at a low multiple of sales, possibly reflecting concerns about growth or profitability. The Price to Free Cash Flow ratio is also low at 3.9x, failing the threshold, but the Free Cash Flow Yield is strong at 25.7%, indicating good cash generation relative to market cap.

Profitability:

Gross margin is strong at 45.6%, passing the threshold comfortably, showing good cost control on sales. Operating margin at 8.9% is moderate and in the monitor range, indicating some room for improvement in operational efficiency. Net margin at 5.7% passes the threshold, showing the company is profitable at the bottom line. However, the Return on Equity (ROE) is deeply negative at -167.4%, failing the threshold, which is driven by negative equity on the balance sheet. Return on Capital Employed (ROCE) is healthy at 17.4%, passing the threshold, indicating the company generates good returns on its capital base excluding equity distortions.

Liquidity:

Current ratio at 1.5x is borderline monitor, indicating the company has just enough current assets to cover current liabilities. Quick ratio at 1.0x passes, showing adequate liquidity excluding inventory.

Leverage:

Debt-to-equity ratio is negative at -5.2 due to negative equity, which technically passes but signals financial distress or accumulated losses. Interest coverage is weak at 1.5x, failing the threshold, indicating the company struggles to cover interest expenses comfortably. Net Debt/EBITDA at 2.9x is in the monitor range, showing moderate leverage.

Efficiency:

Inventory turnover is strong at 7.1x, passing the threshold, indicating efficient inventory management. Days sales outstanding at 16 days is excellent, showing quick collection of receivables.

Earnings Quality:

Accruals ratio at 2.5% passes, indicating earnings are not heavily influenced by accruals. EBITDA to Free Cash Flow conversion is strong at 76%, passing, showing good cash conversion. Adjusted vs statutory gap is zero, indicating no significant adjustments affecting earnings quality.

Asset Quality:

Goodwill to assets ratio at 12% passes, indicating limited goodwill risk. Capex to depreciation ratio is zero, which is monitored, suggesting low reinvestment in fixed assets. Tangible book value is negative at -£33.2m, failing, reflecting accumulated losses and intangible asset dominance.

Cash Flow:

Cash conversion ratio at 0.8 is borderline monitor, indicating cash flow is slightly less than EBITDA. Free cash flow is positive at £7.3m, passing, showing the company generates cash after capital expenditures.

Conclusion

STV Group presents a mixed financial profile. The company is undervalued by the market based on very low valuation multiples (P/E, EV/Revenue, Price/FCF) and strong free cash flow yield, suggesting potential upside for value investors. Profitability metrics show decent margins and returns on capital, but the negative ROE and negative equity highlight financial distress or accumulated losses. Liquidity is adequate but not strong, and leverage metrics indicate moderate debt levels with weak interest coverage, which is a risk factor.

Operational efficiency is good, with strong inventory turnover and receivables collection. Earnings quality appears solid with good cash conversion. Asset quality concerns arise from negative tangible book value and low reinvestment in fixed assets.

Overall, STV Group appears undervalued fundamentally but carries financial risks related to leverage and equity position. Investors should monitor interest coverage and equity recovery. The company's strong cash flow generation and profitability margins provide a foundation for potential recovery and value realization.

If additional information is required, such as management guidance or segmental performance, it is not available in the provided files.

Victoria Clarke

Financial Modeling & Valuation Expert

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